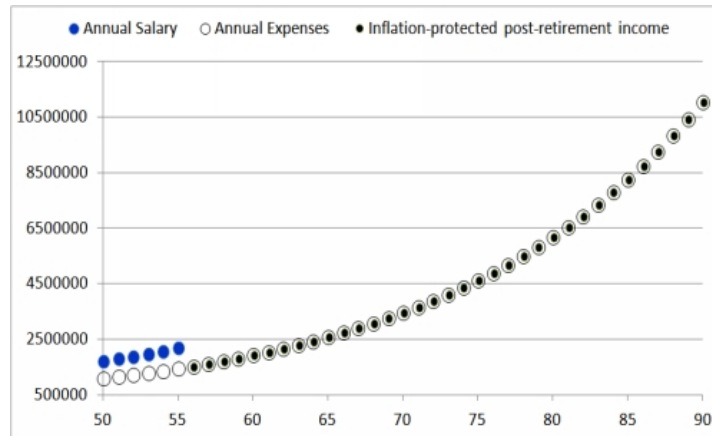




Since no ‘*pension plans*’ will provide you with inflation matching income, we have to invest toward it. We must invest right, invest early and create a finite corpus from which we can draw inflation-adjusted income in perpetuity. Although it sounds like big-time math, this is not as hard as it sounds. In fact, you can live like Rajasthan Rajputs if you start investing today! (we will see how to do this by Week 5)

Similarly, by investing early, we can fund any future big expenses. For example, you could have children and their school expenses, college expenses can be invested toward by utilizing time factor of compound interest. Maybe you wish to get an expensive car, or take a 3-month long international holiday - any financial goal can be invested toward if we plan and make contributions early.

Pranav’s Personal view Child’s education

“I want to give my kids enough so that they feel they could do anything, but not so much that they would do nothing”

- Warren Buffett

A child’s college is a faraway goal like retirement. But I personally feel it’s as important if not more important than retirement. If your child gets a good education without the burden of student loans:

- She can try and sample a career without worrying over the pay
- She has the courage to take risks and even if it renders her unemployed, she’ll just come live with you. No big chip on her shoulder to toe the line and do mundane tasks